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Company Review

Resource valuation, risk and investment thesis

COMPANY

enCore Energy Corp. (NASDAQ: EU | TSXV: EU)

ANALYSIS DATE

October 9, 2026

METHOD

Don Durrett 10-factor method and sum-of-the-parts (USD)

PREPARED BY

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Read the Conflicts of Interest and Important Disclosures sections before relying on this report.

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Executive Summary

enCore Energy is a Tier 1 (USA) uranium in-situ recovery (ISR) producer with Alta Mesa (70%) and the Rosita plant in South Texas, plus a development pipeline in Texas, South Dakota and Wyoming [1][2]. The Durrett 10-factor score is 6.1 / 10. Our sum of the parts (1.3x AISC, stage factors, 5% discount rate, fully diluted shares) gives \$0.74, \$1.41 and \$3.66 per share at U3O8 of \$85, \$100 and \$150, against a price near \$1.08 [3]. Analyst targets were not retrieved, so no base-case comparison is shown.

Main drags: weak H1 2026 extraction (131,274 lb vs 317,613 lb a year earlier; \$57.36/lb extraction cost) and a 360,000 lb spot purchase in Q2 to meet deliveries [1][8], a CEO change in April 2026 [8], thin cash against \$115M of convertible notes [1][4], a new US\$250M at-the-market (ATM) equity program larger than the market cap [14], and Dewey-Burdock permitting risk, about half of project NAV [6]. Recommendation: Hold. Data Quality Score 6.75 / 10. NOTE: this report has not been re-audited since Oct 8; several figures (listed in the Data Quality Audit) are provisional.

\$1.08	~\$0.21B	6.1 / 10	+31%
PRICE (USD)	MARKET CAP	DURRETT SCORE	SOTP VS. PRICE (BASE)

Recommendation: Hold. The \$85 case is 32% below the market price and the \$100 case 31% above it, while dilution capacity, Dewey-Burdock permitting, contract coverage and weak operations are key risks.

Market cap = \$1.08 x 194.3M shares outstanding [3]; fully diluted 206.1M (adds 7.5M options and 4.3M RSUs). All USD; no FX conversion.

Project List

PROJECT	LOCATION	OWNERSHIP	STATUS
Alta Mesa (ISR)	Texas, USA	70%	Production; ramp-up [2][5]
Rosita (ISR plant)	Texas, USA	100%	Production; no resource in RAG file, not valued [2]
Mesteña Grande	Texas, USA	100%	Development [2]
Dewey-Burdock	South Dakota, USA	100%	Pre-production; permits pending [2][6]
Gas Hills	Wyoming, USA	100%	PEA (Dec 2024) [2]
Juniper Ridge	Wyoming, USA	100%	Pre-PEA; 2017 technical report [2]

Table 1. Sources: project RAG JSON (merged 2026-01-30) [2]; filings [1][5]; permitting update [6]. Boss Energy holds the other 30% of Alta Mesa.

Project Locations

Map omitted in markdown. South Texas, South Dakota and Wyoming project areas; positions approximate.

Reserves, Resources and Plausible Value

PROJECT	P&P	M&I total	M&I ex-reserves	INFERRED	PLAUSIBLE	ATTRIB.
Alta Mesa (70%)	none	3.356	3.356	4.455	3.518	2.463
Mesteña Grande	none	0.287	0.287	13.601	4.267	4.267
Dewey-Burdock	none	17.122	17.122	0.713	11.343	11.343
Gas Hills	none	6.164	6.164	none	4.007	4.007
Juniper Ridge (prov.)	none	2.315	2.315	none	1.505	1.505
Total attributable						23.585

Table 2. Units: Mlb U3O8, 100% basis except attributable. Sources: S-K 1300 / NI 43-101 data in the RAG JSON [2]. Juniper Ridge uses a 2017 report (prov.).

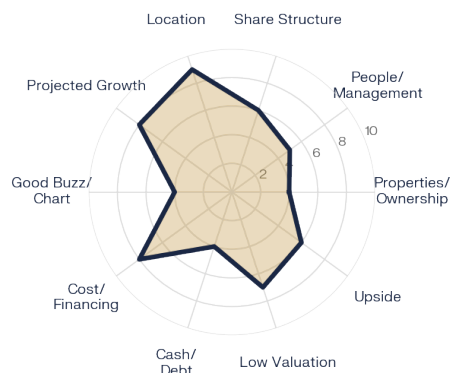
Plausible = P&P x 0.9 + (M&I minus reserves) x 0.65 + Inferred x 0.3. Alta Mesa: $3.356 \times 0.65 + 4.455 \times 0.3 = 3.518$ (x70% = 2.463). Mesteña Grande: $0.287 \times 0.65 + 13.601 \times 0.3 = 4.267$. Dewey-Burdock: $17.122 \times 0.65 + 0.713 \times 0.3 = 11.343$. Gas Hills: $6.164 \times 0.65 = 4.007$. Juniper Ridge: $2.315 \times 0.65 = 1.505$.

10-Factor Analysis

FACTOR	SCORE	RATING	RATIONALE
Properties / Ownership	4	Weak	Tier 3 assets in a Tier 1 jurisdiction; Alta Mesa 70% JV [2]
People / Management	5	Fair	CEO replaced Apr 2026, founder returned as Executive Chair; extraction shortfalls [1][8]
Share Structure	6	Fair	206.1M fully diluted [3]; \$115M converts at \$3.29 [4]; US\$250M ATM [14]
Location	9	Excellent	USA, Tier 1; Dewey-Burdock permitting open [6]
Projected Growth	8	Strong	Upper Spring Creek built; multi-project pipeline [7]
Good Buzz / Chart	4	Weak	Price down 5% to \$1.02-\$1.08 in early Oct [3]; provisional
Cost / Financing	8	Strong	AISC \$31-53 vs \$85-\$150, but extraction cost \$57.36/lb [1][2]
Cash / Debt	4	Weak	Cash \$21.8M vs \$110.2M converts carrying value [1][4]
Low Valuation Estimate	7	Good	EV about \$0.25B, about \$10 per plausible lb
Upside Potential	6	Fair	SOTP at \$150 is 3.4x price; late-stage timing factors
Total	61 / 10 =		6.1

Table 3. Equal-weighted under the Durrett 2.2 rubric; People, Share Structure, Buzz and Cash/Debt are judgment calls.

Radar Chart



Valuation: Sum of the Parts

Margin per lb = U3O8 price minus 1.3x AISC. Plausible pounds are spread evenly over mine life, discounted at 5% (mid-year) and multiplied by the Durrett 2.2 stage factor. Initial capex is deducted at present value for Dewey-Burdock and Gas Hills only; other projects are not itemized.

PROJECT	ATTRIB. Mlb	START (yrs)	LIFE (yrs)	AISC \$/lb	PADDED AISC	STAGE
Alta Mesa	2.46	0.5	21	36.42	47.35	1.00
Mesteña Grande	4.27	3	9	53.18	69.13	0.80
Dewey-Burdock	11.34	4	14	35.01	45.51	0.60
Gas Hills	4.01	6	7	30.93	40.21	0.40
Juniper Ridge	1.51	8	10	40.00	52.00	0.40

Table 4. AISC and mine life from the RAG JSON [2]; start dates are assumptions. Stage mapping: Production 1.00; Development 0.80; Pre-production (Dewey-Burdock) = Pre-feasibility 0.60 (client instruction, Oct 9, 2026); PRE_PFS / PRE_PEA = PEA stage 0.40 (client instruction).

USD MILLIONS	\$85	\$100	\$150
Alta Mesa NAV (stage-weighted)	56.6	79.2	154.3
Mesteña Grande NAV	37.9	73.7	193.0
Dewey-Burdock NAV	160.2	221.0	423.9
Gas Hills NAV	45.4	60.6	111.2
Juniper Ridge NAV	10.6	15.5	31.6
Project NAV	310.7	449.9	914.0
Less: initial capex, Dewey-Burdock and Gas Hills (PV)	(137.4)	(137.4)	(137.4)
Less: convertible notes (carrying)	(110.2)	(110.2)	(110.2)
Plus: cash, securities, inventory	88.4	88.4	88.4

USD MILLIONS	\$85	\$100	\$150
Equity value	151.5	290.7	754.9
Per share (206.1M diluted)	\$0.74	\$1.41	\$3.66
vs. current price (\$1.08)	-32%	+31%	+239%

Table 5. Cash \$21.8M, securities \$52.2M (incl. Verdera stake), inventory \$14.4M, \$115M 5.5% converts due 2030, conversion \$3.29 [1][4]. Converts treated as debt; dilution only above \$3.29, so \$150 is slightly overstated. Capex PV: Dewey-Burdock \$105.0M (2027-2029 early capital) in years 1.5-3.5 = \$93.0M; Gas Hills \$55.2M initial in years 3.5-5.5 = \$44.4M [15][16]. The Dewey-Burdock total of \$264.2M includes later wellfield spend assumed to sit inside AISC; there is a double-count risk if AISC excludes it.

Sensitivities

Illustrative scenarios; not a forecast or price target.

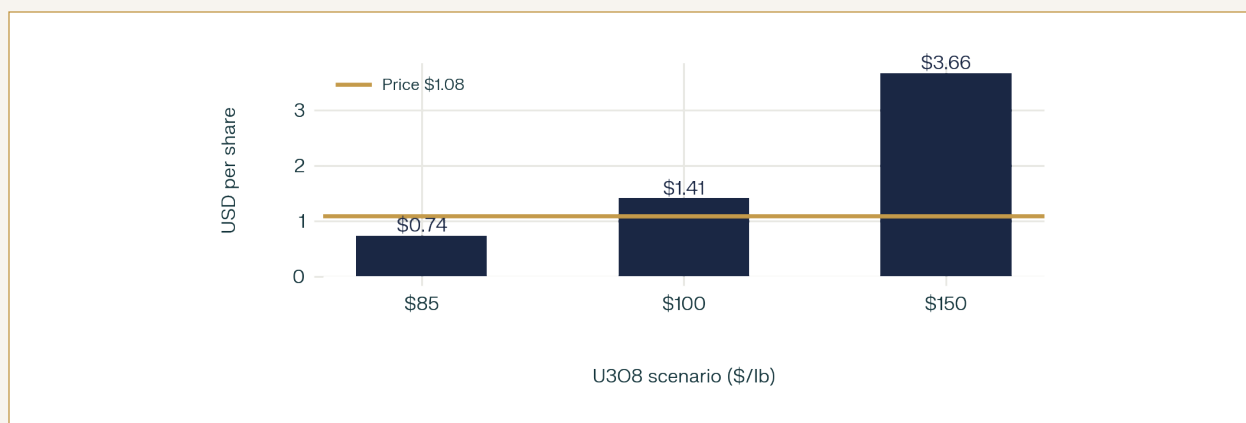
CASE (\$100 URANIUM)	PER SHARE	VS. BASE	RATIONALE
Base case	\$1.41	n/a	Table 5 at \$100
Dewey-Burdock NAV 50% lower	\$0.87	-38%	Permit delay or denial; analyst assumption
\$100M equity raise at \$1.08 (92.6M shares)	\$1.31	-7%	Funding illustration; analyst assumption
Short contracting: 360,000 lb/quarter bought at \$100 spot for 4 quarters, delivered at an assumed \$65 contract price	\$1.16	-18%	Q2 2026 spot purchase [8]; \$65 contract price is an assumption (2024 average \$84.85/lb [9])
All non-producing projects start 1 year later	\$1.33	-6%	Schedule slip; analyst assumption

Table 6. All cases are analyst assumptions. Each extra quarter of spot purchases costs about \$0.06 per share.

Analyst Cross-Check

SOURCE	RATING	TARGET (USD)
Not retrieved	n/a	n/a

Table 7. Analyst targets were not retrieved; add broker data before client distribution.



Input Assumptions Disclosure

INPUT	VALUE	BASIS
U3O8 price	\$85 / \$100 / \$150, flat	Client scenarios; not a forecast
Discount rate / cost pad	5% / 1.3x	Client instruction
Durrett constants	0.9 / 0.65 / 0.30	Project override
Capex by project	Dewey-Burdock \$105.0M; Gas Hills \$55.2M	[15][16]; Mesteña Grande and Juniper Ridge not itemized (gap)
FX	n/a	All USD
Start dates	0.5 / 3 / 4 / 6 / 8 yrs	Analyst assumption
Cash / debt	\$21.8M / \$110.2M	Q2 2026 10-Q [1][4]
Shares	206.1M diluted	194.3M basic + 7.5M options + 4.3M RSUs [3]
Contract price (sensitivity)	\$65/lb	Analyst assumption

Table 8. Rosita valued at zero (no resource data). Several project records predate Q2 2026.

Capital Raise Outlook (18 months)

Probability of a meaningful equity raise (about \$50M or more): about 65%; forced raise: about 25%. On Aug 13, 2026 enCore put in place a US\$250M ATM program, about 1.2x the market cap, and Q2 2026 cash was only \$21.8M [1][14]. Needs include Mesteña Grande, Upper Spring Creek, Dewey-Burdock, corporate burn and spot purchases. How many shares have been sold under the program was not found.

This section is analyst judgment, not a sourced forecast.

Capital Raise History

DATE	EVENT	SIZE (USD)	ISSUE PRICE (USD)	NEW SHARES (M)	DILUTION %	SOURCE
Aug 13, 2026	At-the-market (ATM) program, Cantor Fitzgerald: shares sold to date not found	\$0 found of \$250M facility	not found	not found	not found	[14]
Aug 22, 2025	5.50% convertible senior notes due 2030 (potential shares on conversion)	\$115M	3.29 conv.	35.0	not found (potential)	[13]
Feb 26, 2024	Boss Energy Alta Mesa JV (30% interest sold)	\$60M	n/a	n/a	n/a	[12]
Feb 2023	Public offering of units (C\$34.5M; 10,615,650 units at C\$3.25)	about \$25M (approx.)	about 2.4	10.6	not found	[11]
Mar 25, 2022	Bought-deal public offering (C\$30M)	about \$24M (approx.)	not found	not found	not found	[10]
Total	Equity only, last 4 years (partial)	not summed			not found	

Table 9. Dilution % requires shares before each event, which were not retrieved. The Aug 2025 notes show potential shares at the conversion price ($115 / 3.29 = 35.0\text{M}$); potential, not issued. USD sizes for Canadian-dollar offerings are approximate. Earlier ATM usage (\$2.0M in Q1 2024; program suspended Apr 2024) and the Feb 2024 Boss share purchase and note conversion were not re-verified.

Red Flags and Investor Concerns

Red Flag: Management and contract coverage. The board replaced the CEO on Apr 20, 2026 and returned the founder as Executive Chair; Q2 2026 needed a 360,000 lb spot purchase to meet deliveries. Pending permits point to relief no earlier than 2027 [8].

Red Flag: Dilution capacity. The US\$250M ATM is about 1.2x the market cap, and cash of \$21.8M is thin against \$115M of notes [1][14].

Red Flag: Execution. H1 2026 extraction was 131,274 lb vs 317,613 lb a year earlier; extraction cost rose to \$57.36/lb [1].

Red Flag: Dewey-Burdock permitting. About half of project NAV depends on a project still seeking state permits [6].

Red Flag: People (5), Share Structure (6), Good Buzz (4), Cash / Debt (4). Thin liquidity against \$115M of notes, weak price action and potential dilution [1][3][4].

Observations and Next Steps

Watch the Q3 2026 report for extraction ramp, Alta Mesa and Upper Spring Creek permits, spot-purchase volumes and ATM usage. NEW PROJECT DATA NOT APPLIED (RAG predates it): the Feb 2025 Gas Hills report shows 7.705 Mlb M&I, 0.428 Mlb inferred, an 11-year life and \$40.61/lb all-in cost, versus 6.164 Mlb, 7 years and \$30.93 in the RAG; Dewey-Burdock life is 21 to 28 years in company summaries versus 14 in the RAG. Verify cash, capex commitments, options/RSUs, Gas Hills and Juniper Ridge resources, and the contract book and price. The RAG JSON (merged 2026-01-30) predates the Q2 2026 10-Q.

Data Quality Audit

Data Quality Score 6.75 / 10 under the earlier method (accuracy 6.5, hallucination control 7.0, sycophancy 7.0); v7 re-scoring pending. Verified: ownership, AISC and resources from the RAG JSON [2]; Q2 2026 results and 10-Q [1][4]; CEO change [8]. Provisional: price and market cap [3]; spot purchase volume (secondary [8]); contract price; start dates; stage mapping; Juniper Ridge (2017 report); Rosita (no resource); capex and other balance-sheet items; ATM usage; equity-raise dates and sizes. This report has not had the line-by-line input audit applied to NXE, PALAF and UEC. Internal self-assessment, not an independent audit.

Sources and Footnotes

#	SOURCE
[1]	enCore Energy, Q2 2026 results release (Aug 13, 2026): cash, securities, extraction, costs.
[2]	Project RAG JSON (merged 2026-01-30); S-K 1300 / NI 43-101 data (FY2024 10-K).
[3]	enCore share structure page (Aug 31, 2026); Yahoo Finance, MarketBeat (Oct 2026).
[4]	enCore Form 10-Q, Q2 2026 and Q1 2026: convertible notes, liabilities.
[5]	Alta Mesa JV with Boss Energy (30%): RAG JSON entry; FY2024 10-K.
[6]	Black Hills Clean Water Alliance, Dewey-Burdock update (Sep 2026) (advocacy source).
[7]	enCore press release (Jun 4, 2026): Upper Spring Creek construction complete.
[8]	enCore press release (Apr 20, 2026): CEO change; Holdco Markets Q2 2026 summary (Aug 17, 2026) (secondary).
[9]	enCore Q3 2024 results (Nov 14, 2024): 530,000 lb sold at \$84.85/lb average.
[10]	enCore press release (Mar 25, 2022): C\$30M bought deal.
[11]	enCore press release (Feb 2023): C\$34.5M public offering.
[12]	enCore MD&A for six months ended Jun 30, 2024 and Q1/24 ATM update (Apr 4, 2024).
[13]	enCore press release and 8-K (Aug 22, 2025): \$115M convertible notes.
[14]	enCore press release (Aug 13, 2026): US\$250M ATM program.
[15]	Dewey-Burdock S-K 1300 PEA (effective Oct 8, 2024): total capital \$264.2M, \$105.0M in 2027-2029.
[16]	enCore release (Feb 27, 2025): Gas Hills PEA, initial capital \$55.2M.

All sources accessed Oct 9, 2026.

Conflicts of Interest, Holdings and Compensation

ITEM	DISCLOSURE
Compensation for this analysis	Fifth Generation Advisers receives no compensation of any kind, to or from enCore Energy Corp., its officers, directors, affiliates, underwriters or financing agents, or any other third party, in connection with this analysis.
Independence of the analysis	Prepared from public information, without review or input from enCore Energy Corp.. No analysis is free of bias; model assumptions, scores and judgment calls are ours and are identified.
Positions	As of Oct 9, 2026, positions of the firm, principals, employees and advisory clients in enCore Energy Corp. are not material: fewer than 100,000 shares in total across all of them.
Other relationships	No investment-banking, advisory, consulting, finder or other relationship with enCore Energy Corp. exists, and none existed in the past 12 months.
General and impersonal	General and impersonal; not tailored to any recipient and not personalized advice.
Third-party method	The 10-factor framework follows Don Durrett's published method; Fifth Generation Advisers is not affiliated with, endorsed by or compensated by Mr. Durrett.

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Scenarios are not forecasts. Per-share values, upside percentages, sensitivities and capital-raise probabilities are hypothetical outputs of the stated assumptions, not price targets. Metal prices are held flat; the discount rate and cost pad are analyst choices.

Mineral resource figures. Reserves and resources are estimates; inferred resources are speculative. "Plausible" pounds are our own weighting ($P\&P \times 0.9 + (M\&I \text{ minus reserves}) \times 0.65 + \text{Inferred} \times 0.3$) and are not a category recognized under SEC S-K 1300 or NI 43-101.

Principal risks. Commodity price; financing and dilution; permitting, regulatory and political; operating and execution; liquidity and volatility; cross-listing and currency; estimation risk. Loss of all principal is possible. Past performance does not guarantee future results.

Report status and key limitations.

- **General and impersonal.** Not tailored to any person and not personalized advice.
- **Rating.** Hold is the firm's general opinion over the next 12 months as of the analysis date; not a recommendation to buy, hold or sell.
- **Scenarios, not forecasts.** Values are illustrative outputs at flat metal prices of \$85, \$100 and \$150; not price targets.
- **Model limits.** Future capex is deducted only for Dewey-Burdock and Gas Hills (Mesteha Grande, Juniper Ridge and any Alta Mesa expansion are not itemized); Rosita and exploration assets are valued at zero; start dates are assumed; corporate overhead is not deducted; the RAG JSON predates Q2 2026.
- **Compensation and conflicts.** No paid compensation received; see the Conflicts section.

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